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UNITED STATES DISTRICT COURT

NORTHERN DISTRICT OF CALIFORNIA – SAN FRANCISCO DIVISION

BRENDAN NGEHSI NEWANFORBI, Plaintiff, v. SHANNON SMITH, LCSW, Chief Executive Officer and Founder of HOPE Program, an individual; and HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation, Defendants.	Case No. 3:26-cv-07504-LJC **DEFENDANTS SHANNON SMITH AND HOPE PROGRAM, A LICENSED CLINICAL SOCIAL WORKER PROFESSIONAL CORPORATION'S NOTICE OF MOTION AND MOTION TO DISMISS; MEMORANDUM OF POINTS AND AUTHORITIES IN SUPPORT** Hearing Date: October 20, 2026 Hearing Time: 10:30 a.m. Court Room: G, 15th Floor Judge: Hon. Lisa J. Cisneros

TO THE COURT, ALL PARTIES AND THEIR COUNSEL OF RECORD:

PLEASE TAKE NOTICE that on October 20, 2026, at 10:30 a.m., in Courtroom G, 15th Floor, of the above-entitled Court located at 450 Golden Gate Avenue, San Francisco, CA 94102, before the Honorable Lisa J. Cisneros, Defendants Shannon Smith ("Smith") and HOPE Program, A Licensed Clinical Social Worker Professional Corporation ("Hope") (collectively "Defendants") will and hereby do move to dismiss Plaintiff's complaint pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure.

Defendants seek dismissal of Plaintiff's complaint for failure to state a claim upon which

relief can be granted. This motion is based on this Notice and Memorandum of Points and Authorities, all pleadings, filings, and oral argument in this action.

MEET-AND-CONFER CERTIFICATION

On September 10, 2026, Defendants' counsel met and conferred with Plaintiff as to the sufficiency of the Complaint's allegations and Defendants' intention to file the instant motion to dismiss. The parties were unable to reach a resolution as to the arguments raised in Defendants' motion. The parties agreed that we have exhausted meet and confer efforts and have been unable to reach an agreement to avoid formal motion practice.

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MEMORANDUM OF POINTS AND AUTHORITIES

California requires parolees convicted of certain sex offenses to complete, as a condition of parole, a sex offender management program. (Compl.), ECF No. 1 ¶ 14; *see* Cal. Penal Code § 3008(d)(2). Plaintiff, who is one of these parolees, was referred to Hope for enrollment in sex offender group therapy in accordance with this requirement. *Id.* ¶¶ 11, 13. Disgruntled over his inability to complete the program, Plaintiff has filed multiple lawsuits against Hope and/or its employees in the past year, each challenging this condition of his parole. One of his lawsuits, filed in the San Joaquin County Superior Court, was recently resolved in Hope's favor when the court sustained Hope's demurrer to Plaintiff's first amended compliant without leave to amend for failure to allege sufficient facts to state a cause of action.[1] Undeterred, Plaintiff filed the instant action less than one week after the adverse state court decision. Although Plaintiff now asserts violation of his federal rights—the San Joaquin Superior Court action advanced only state law claims—the complaint filed in this case contains essentially the same factual allegations as the one Plaintiff filed in state court.

The San Joaquin Superior Court correctly held that plaintiff's claims were subject to dismissal for failure to state a claim. Because the dismissal of the state court action is entitled to full faith and credit, Plaintiff's claims in this action are barred under the doctrine of *res judicata*. Alternatively, Plaintiff's complaint should be dismissed because it fails to include sufficient factual allegations to state a claim for relief. For these reasons, Defendants' motion to dismiss should be granted.

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[1] Prior to commencing the state court action on February 10, 2026, Plaintiff filed two factually similar cases in the United States District Court for the Eastern District of California. On January 5, 2026, he filed a complaint against two parole officials and Hope's Site Director Katie Palacios, alleging claims under 42 U.S.C. § 1983. *See Newanforbi v. Derrick*, Case No. 2:26-cv-00004-DJC-JDP (E.D. Cal. 2026). A little more than two weeks later, he filed in the same district a separate lawsuit against four parole officials, the Secretary of the California Department of Corrections and Rehabilitation, Katie Palacios, and Hope. *See Newanforbi v. Hope Psychotherapy, Inc.*, Case No. 2:26-cv-00195-TLN-AC (E.D. Cal. 2026). On May 26, 2026, Plaintiff voluntarily dismissed this second case pursuant to Rule 41(a)(1)(A)(i). *See Newanforbi v. Hope Psychotherapy, Inc.*, Case No. 2:26-cv-00195-TLN-AC (E.D. Cal. 2026). More recently, Plaintiff voluntarily dismissed his other case he filed in the Eastern District of California.

I. BACKGROUND

Plaintiff commenced this action on July 20, 2026. ECF No. 1. According to the complaint, Plaintiff is a parolee under the supervision of the California Department of Corrections and Rehabilitation ("CDCR"). ECF No. 1 ¶ 11. Hope provides sex offender treatment to parolees pursuant to a contract with CDCR. *Id.* ¶¶ 1, 13. Defendant Smith is Hope's founder and Chief Executive Officer. *Id.* ¶¶ 1, 12.

Since March 2021, Plaintiff has been enrolled in Hope's sex offender management program. *Id.* ¶ 26. Plaintiff alleges that he not been able to complete the program because Hope—the sole certified sex offender treatment provider in the Stockton region—maintains a blanket policy under which no parolee can ever be found to have completed treatment before discharge from parole, regardless of the individual's progress. *Id.* ¶¶ 20, 26. According to Plaintiff, this policy is documented in Hope's Clinical Operational Manual, which allegedly bars "discharging a client from treatment for any reason" and prohibits Hope clinicians from providing a Treatment Completion Certificate "directly to clients." *Id.* ¶ 3. Although the same manual allegedly describes a six-step graduation process, Plaintiff contends that the pathway to graduation is illusory given Hope's prohibition on "discharging a client from treatment for any reason." *Id.* ¶¶ 3, 21, 42.

Plaintiff further alleges that Smith "personally approved, implemented, and enforced" this policy, which provided a financial benefit to Hope by increasing the number of parolees enrolled in its treatment program. *Id.* ¶¶ 1, 12, 45-47. He also alleges that Hope's Site Director, Katie Palacios ("Palacios"), made false statements—e.g., mischaracterizing homework as only "partially completed"—in a CDCR Form 3043 that was provided to CDCR. *Id.* ¶ 35. These false statements were allegedly incorporated into a November 2025 Discharge Review Report that recommended Plaintiff remain in Hope's treatment program. *Id.* ¶¶ 25, 31-33. Lastly, Plaintiff contends that after he complained about Hope's unlawful practices, Palacios retaliated against him by calling him "disruptive," a "ringleader," and "abhorrent" in front of his parole agents at an August 19, 2025 Containment Team Meeting ("CTM"). *Id.* ¶¶ 5, 39.

Based on these allegations, the complaint alleges five claims styled as: (1) 42 U.S.C. § 1983-Individual Capacity; (2) 42 U.S.C. § 1983-Monell Liability; (3) California Civil Code Section 52.1

(Bane Act); (4) Fraud and Negligent Misrepresentation; and (5) 18 U.S.C. Section 1962(c)-(d) (RICO). *Id.* at 16-21.

II. LEGAL STANDARDS

Pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure ("Rules"), a defendant may move to dismiss a complaint for "failure to state a claim upon which relief can be granted." Fed. R. Civ. P. 12(b)(6). A Rule 12(b)(6) motion tests the legal sufficiency of the complaint. *N. Star Int'l v. Ariz. Corp. Comm'n*, 720 F.2d 578, 581 (9th Cir. 1983). "Dismissal can be based on the lack of a cognizable legal theory or the absence of sufficient facts alleged under a cognizable legal theory." *Balistreri v. Pacifica Police Dep't*, 901 F.2d 696, 699 (9th Cir. 1990). A complaint must allege "enough facts to state a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). "A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). "Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief." *Id.* (citations and quotation marks omitted).

When presented with a motion to dismiss pursuant to Rule 12(b)(6), the court accepts as true the allegations in the complaint and construes them in the light most favorable to the plaintiff. *Hishon v. King & Spalding*, 467 U.S. 69, 73 (1984); *Love v. United States*, 915 F.2d 1242, 1245 (9th Cir. 1989). The court, however, need not assume the truth of legal conclusions cast in the form of factual allegations. *United States ex rel. Chunie v. Ringrose*, 788 F.2d 638, 643 n.2 (9th Cir. 1986). Although Rule 8(a) does not require detailed factual allegations, "it demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation." *Iqbal*, 556 U.S. at 678.

Thus, a complaint is insufficient if it offers mere "labels and conclusions" or "a formulaic recitation of the elements of a cause of action." *Twombly*, 550 U.S. at 555; *see also Iqbal*, 556 U.S. at 676 ("Threadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice."). "Moreover, it is inappropriate to assume the plaintiff 'can prove facts that it has not alleged or that the defendants have violated the . . . laws in ways that have not been alleged." *Arroyo v. LL Folsom, L.P.*, 630 F. Supp. 3d 1346, 1349 (E.D. Cal. 2022) (quoting

Associated Gen. Contractors of Cal., Inc. v. Cal. State Council of Carpenters, 459 U.S. 519, 526 (1983)).

III. ARGUMENT

Plaintiff has already had an opportunity to challenge the condition of his parole requiring his continued enrollment in Hope's sex offender management in the lawsuit he filed in San Joaquin County Superior Court. His present attempt to evade the San Joaquin County Superior Court's ruling by filing suit in a different forum is foreclosed by the doctrine of *res judicata*. Alternatively, each of plaintiff's claims should be dismissed because the complaint fails to provide sufficient factual allegations to state a claim for relief.

A. Claim Preclusion

"[F]ederal courts are required to give state court judgments the preclusive effects they would be given by another court of that state." *Brodheim v. Cry*, 584 F.3d 1262, 1268 (9th Cir. 2009). This requires federal courts to apply the relevant state preclusion rules to assess the preclusive effect of the state court's decision. *Miofsky v. Super. Ct. of Cal.*, 703 F.2d 332, 336 (9th Cir. 1983). In California, *res judicata* "has a double aspect," encompassing both claim preclusion and collateral estoppel. *People v. Barragan*, 32 Cal. 4th 236, 252 (2004). Claim preclusion bars a second lawsuit between the same parties on the same cause of action, while collateral estoppel, also referred to as issue preclusion, bars relitigation of an issue that was actually litigated and determined in the first action. *Id.* at 252-53. The elements for both claim and issue preclusion "are the same: (1) A claim or issue raised in the present action is identical to a claim or issue litigated in a prior proceeding; (2) the prior proceeding resulted in a final judgment on the merits; and (3) the party against whom the doctrine is being asserted was a party or in privity with a party to the prior proceeding." *Boeken v. Philip Morris USA, Inc.*, 48 Cal. 4th 788, 797 (2010) (quoting *Barragan*, 32 Cal. 4th at 252-53).

Here, each of these elements is satisfied. With respect to the first element—that the present case is identical to a claim or issue litigated in a prior proceeding—"California courts have 'consistently applied the 'primary rights' theory.'" *Id.* (quoting *Slater v. Blackwood*, 15 Cal. 3d 791, 795 (1975)). Under California's "primary rights" theory, "a cause of action is (1) a primary right possessed by the plaintiff, (2) a corresponding primary duty devolving upon the defendant, and (3) a

harm done by the defendant which consists in a breach of such primary right and duty." *City of Martinez v. Texaco Trading & Transp., Inc.*, 353 F.3d 758, 762 (9th Cir. 2003) (citing *Citizens for Open Access to Sand & Tide, Inc. v. Seadrift Ass'n*, 60 Cal. App. 4th 1053, 1065 (1998)). "[I]f two actions involve the same injury to the plaintiff and the same wrong by the defendant, then the same primary right is at stake even if in the second suit the plaintiff pleads different theories of recovery, seeks different forms of relief and/or adds new facts supporting recovery." *San Diego Police Officers' Ass'n v. San Diego City Emps.' Ret. Sys.*, 568 F.3d 725, 734 (9th Cir. 2009) (quoting *Eichman v. Fotomat Corp.*, 147 Cal. App. 3d 1170. 1174 (1983)).

In the San Joaquin County Superior Court action, Plaintiff alleged causes for action for: (1) fraud/intentional misrepresentation; (2) negligence; (3) intentional infliction of emotional distress; (4) intentional interference with prospective economic advantage; (5) violation of the Bane Act; (6) declaratory relief due; and (7) violation of Business & Professions Code § 17200. Each of these claims was based on Hope and its employee's wrongful actions to enforce Hope's "blanket retention policy that makes completion [of its sex offender management program] impossible for any participant prior to parole discharge." Req. J. Not., Ex A at 2, 4-6, 8, 12, 15-17, 20-22. Plaintiff alleged that as a result of this blanket policy, he was required to remain in Hope's sex offender treatment program, which interfered with his ability work as a long-haul commercial truck driver. *Id.* at 12-15, 19.

The instant action involves the same injury to Plaintiff and challenges the same conduct by HOPE and its employees. Specifically, Plaintiff alleges that Hope and Smith "enforced a blanket retention policy under which no parolee could ever be determined to have completed sex offender treatment prior to discharge from parole, regardless of individual clinical progress, compliance, risk reduction, or homework completion. ECF No. 1 ¶ 1. The federal complaint also alleges that as a result of this blanket policy, "Plaintiff Brendan Ngehsi Newanforbi has been trapped in mandatory treatment since March 2021 . . . ." *Id.* ¶ 5. Thus, the same primary right is at stake in both cases. Accordingly, under California's primary rights theory, Plaintiff's causes of action in this case are identical to those alleged in his prior state court case.

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Although Plaintiff's state court action did not assert claims for violation of section 1983 and the Racketeer Influenced and Corrupt Organization Act ("RICO"), he is precluded from litigating these claims because he could have litigated them in his state court case. *Clark v. Yosemite Community College Dist.*, 785 F.2d 781, 786 (9th Cir. 1986) ("Although Clark did not raise a section 1983 claim in the state proceeding, the doctrine of res judicata applies not only to those claims actually litigated in the first action but also to those which might have been litigated as part of that cause of action."); *Monterey Plaza Hotel Ltd. P'ship v. Local 483 of the Hotel Employees & Rest. Employees Union, AFL-CIO*, 215 F.3d 923, 928 (9th Cir. 2000) ("The harm alleged is fundamentally the same injury to business reputation and customer goodwill. This court will not allow these claims to be relitigated in the RICO context when they were capable of being litigated and decided in the state court.").

The second element for preclusion—a final judgment on the merits—is also satisfied. On July 15, 2026, just five days before Plaintiff commenced this action, the San Joaquin County Superior Court issued an order sustaining Hope's demurrer to the first amended complaint with prejudice for Plaintiff's failure to allege facts sufficient to state any cause of action. Req. J. Not., Ex. C. *See Palomar Mobilehome Park Ass'n v. City of San Marcos*, 989 F.2d 362, 364 (9th Cir. 1993) ("In California, a judgment entered after the sustaining of a general demurrer is a judgment on the merits, and, to the extent that it adjudicates that the facts alleged do not establish a cause of action, it will bar a second action on the same facts.").

The final element requires that "the party against whom the doctrine [of *res judicata*] is being asserted was a party or in privity with a party to the prior proceeding." *Boeken*, 48 Cal. 4th at 797. Plaintiff Newanforbi was the sole plaintiff in the state court action, which is true of the instant case.[2] Thus, this final requirement is also satisfied.

[2] Defendants also note that there is privity between all defendants in the state and federal actions. Shannon Smith, the individual defendant named in this case, and Katie Palacios, the individual defendant named in the state action, are both Hope employees. *See Scott v. Kuhlmann*, 746 F.2d 1377, 1378 (9th Cir. 1984) (per curiam) (finding privity for purposes of *res judicata* in a case where "[d]ifferent individuals [we]re named defendants in the two suits, but all [were] employees of the FCC who participated in the" challenged conduct that led to the alleged injury); *Drawsand v. F.F. Properties, L.L.P.*, 866 F. Supp. 2d 1110, 1227 (N.D. Cal. 2011) ("An employer-employee relationship generally satisfies the privity requirement for matters within the scope of employment.").

Simply put, Plaintiff alleges the Defendants engaged in the same wrongful conduct that resulted in the same injury that formed the basis of his state court action. Although the state court complaint did not allege claims for violation of section 1983 and RICO or include Shannon Smith as a defendant, both cases involve the same parties and causes of action claims under California's primary rights theory. Lastly, the state court action was decided on the merits in Hope's favor. Accordingly, the doctrine of *res judicata* bars Plaintiff from litigating each of his claims.

B. The Complaint Fails to Plausible Allege a Viable Claim

Plaintiff's complaint is also subject to dismissal because it fails to include sufficient factual allegations to state a claim upon which relief may be granted.

1. 42 U.S.C. § 1983

Plaintiff's first and second claims allege violations of his First and Fourteenth Amendment rights under 42 U.S.C. § 1983. Both claims are deficient in multiple respects. First, the complaint's allegations fail to demonstrate that Defendants are state actors. Second, Plaintiff's allegations do not establish a violation of his First and Fourteenth Amendment rights.

a. State Actor

A plaintiff does not have a cause of action directly under the United States Constitution. *Livadas v. Bradshaw*, 512 U.S. 107, 132 (1994) (affirming 42 U.S.C. § 1983 provides federal cause of action for the deprivation of rights secured by the United States Constitution). Instead, 42 U.S.C. § 1983 provides the "mechanism for vindicating federal or constitutional rights." *Stilwell v. City of Williams*, 831 F.3d 1234, 1240 (9th Cir. 2016). To succeed on a section 1983 claim, a plaintiff must establish "the violation of a right secured by the Constitution and laws of the United States, and . . . that the . . . deprivation was committed by a person acting under color of state law." *West v. Atkins*, 487 U.S. 42, 48 (1988); *see Leer v. Murphy*, 844 F.2d 628, 632-33 (9th Cir. 1988) ("Section 1983 imposes two essential proof requirements upon a claimant: (1) that a person acting under color of state law committed the conduct at issue, and (2) that the conduct deprived the claimant of some right, privilege, or immunity protected by the Constitution or laws of the United States.").

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"When addressing whether a private party acted under color of law, [courts] start with the presumption that private conduct does not constitute governmental action." *Sutton v. Providence St. Joseph Med. Ctr.*, 192 F.3d 826, 835 (9th Cir. 1999); *see also Am. Mfrs. Mut. Ins. Co. v. Sullivan*, 526 U.S. 40, 50 (1999) ("[T]he under-color-of-state-law element of § 1983 excludes from its reach merely private conduct, no matter how discriminatory or wrongful.") (quotations omitted). That presumption can be rebutted "if, though only if, there is such a 'close nexus between the State and the [private entity's] challenged action' that seemingly private behavior 'may be fairly treated as that of the State itself.'" *Brentwood Acad. v. Tennessee Secondary Sch. Athletic Ass'n*, 531 U.S. 288, 295 (2001) (quoting *Jackson v. Metro. Edison Co.*, 419 U.S. 345, 351 (1974)).

Evaluating whether private conduct may be fairly attributable to the State is a fact-intensive inquiry. *Lee v. Katz*, 276 F.3d 550, 554 (9th Cir. 2002). "The Supreme Court has developed four different tests that aid [courts] in identifying state action: (1) public function; (2) joint action; (3) governmental compulsion or coercion; and (4) governmental nexus." *Pasadena Republican Club v. Western Just. Ctr.*, 985 F.3d 1161, 1167 (9th Cir. 2021) (quotations omitted). "'Satisfaction of any one test is sufficient to find state action, so long as no countervailing factor exists.'" *Rawson v. Recovery Innovations, Inc.*, 975 F.3d 742, 747 (9th Cir. 2020) (quoting *Kirtley v. Rainey*, 326 F.3d 1088, 1092 (9th Cir. 2003)). Importantly, Plaintiff bears the burden of establishing that Defendants are state actors. *See Florer v. Congregation Pidyon Shevuyim, N.A.*, 639 F.3d 916, 922 (9th Cir. 2011) (citing *Flagg Bros., Inc. v. Brooks*, 436 U.S. 149, 156 (1978)). "Only in rare circumstances can a private party be viewed as a 'state actor' for § 1983 purposes." *Harvey v. Harvey*, 949 F.2d 1127, 1130 (11th Cir. 1992).

(1) Public Functions Test

Plaintiff appears to contend that Hope and Smith are state actors under the public functions test. *See* ECF No. 1 ¶ 18-19. "Under the public function test, when private individuals or groups are endowed by the State with powers or functions governmental in nature, they become agencies or instrumentalities of the State and subject to its constitutional limitations." *Lee*, 276 F.3d at 555 (quotations omitted). "The public function test is satisfied only on a showing that the function at issue is both traditionally and exclusively governmental." *Rawson*, 975 F.3d at 747 (quotations

omitted). This rigorous test is rarely satisfied, *Mark v. Borough of Hatboro*, 51 F.3d 1137, 1142 (3rd. Cir. 1995), for "[w]hile many functions have been traditionally performed by governments, very few have been 'exclusively reserved to the State,'" *Flagg Brothers*, 436 U.S. at 158.

Plaintiff alleges that "Hope contracts with CDCR to provide mandatory sex offender treatment, a function CDCR is statutorily required to administer under Penal Code Section 3008." ECF No. 1 ¶ 18. After observing that a private citizen is considered a state actor when providing services that are traditionally and exclusively public functions, Plaintiff alleges that "HOPE's role as sole certified provider, its submission of clinical reports to CDCR that directly affect parole decisions, and its performance of mandatory state-ordered treatment makes HOPE a state actor." *Id.* ¶ 19. At most, Plaintiff's allegations reflect that he is required, as a condition of his parole, to participate in a sex offender management program. Importantly, his allegations do not demonstrate that providing sex offender management therapy has been "traditionally the exclusive prerogative of the State." *Blum v. Yaretsky*, 457 U.S. 991, 1005 (1982). Indeed, there is nothing prohibiting sex offenders like Plaintiff from obtaining private treatment on their own accord. *See Reinhardt v. Kopcow*, 65 F. Supp. 3d 1164, 1173 (D. Colo. 2014) (finding that sex offender treatment was not traditionally and exclusively a state function); *Colliton v. Bunt*, 2016 WL 7443171, at *7 (S.D.N.Y. Dec. 27, 2016) ("Plaintiff has failed to allege that Bunt, in providing sex offender treatment to Plaintiff, was 'exercis[ing] powers that are traditionally the exclusive prerogative of the state,' and thus has not plausibly alleged that the public function test is met.").

(2) Joint Action Test

Under the joint action test, the court considers whether "the state has so far insinuated itself into a position of interdependence with the private entity that it must be recognized as a joint participant in the challenged activity. This occurs when the State knowingly accepts the benefits derived from unconstitutional behavior." *Parks Sch. of Bus., Inc. v. Symington*, 51 F.3d 1480, 1486 (9th Cir. 1995) (internal citations, brackets, and quotation marks omitted). "A plaintiff may demonstrate joint action by proving the existence of a conspiracy or by showing that the private party was 'a willful participant in joint action with the State or its agents.'" *Franklin v. Fox*, 312 F.3d 423, 445 (9th Cir. 2002) (quoting *Collins v. Womancare*, 878 F.2d 1145, 1154 (9th Cir. 1989), cert.

denied). The Ninth Circuit has "been careful to require a substantial degree of cooperation before imposing civil liability for actions by private individuals that impinge on civil rights." *Id.*; *see Polk County v. Dodson*, 454 U.S. 312, 325 (1981) (finding public defender not acting under color of state law when performing advocacy function).

Plaintiff's allegations do not establish that Defendants acted jointly with CDCR in such a way to generate a benefit to the State. Nor do the allegations reflect that Defendants and CDCR shared a common goal of violating Plaintiff's constitutional rights. *See Franklin v. Fox*, 312 F.3d 423, 455 (9th Cir. 2002) (observing that joint action is established by showing a private defendant shared "with the public entity the goal of violating a plaintiff's constitutional rights"). Instead, Plaintiff merely alleges that Defendants had a contract with CDCR to provide sex offender management therapy. That contract alone is not sufficient to establish joint action. *See Rendell-Baker v. Kohn*, 457 U.S. 830, 841 (1982) ("[A]cts of . . . private contractors do not become acts of the government by reason of their significant or even total engagement in performing public contracts.").

(3) Governmental Compulsion Test

The third test—the governmental compulsion or coercion test—considers whether the coercive influence or "significant encouragement" of the state "effectively converts a private action into a government action." *Kirtley*, 326 F.3d at 1094 ("We have treated a nominally private entity as a state actor when it is controlled by an 'agency of the State'"). "Even extensive regulation by the government does not transform the actions of the regulated entity into those of the government." *San Francisco Arts & Athletics, Inc. v. U.S. Olympic Comm.*, 483 U.S. 522, 544 (1987). Instead, a plaintiff must show "that state regulation 'evidence[s] governmental coercion or encouragement' over the particular activity that allegedly caused the constitutional injury." *Vasquez v. Reece Sch.*, No. 22-CV-5986 (GHW) (JW), 2023 WL 11992389, at *3 (S.D.N.Y. Feb. 6, 2023) (quoting *Dawkins v. Biondi Educ. Ctr.*, 164 F. Supp. 3d 518, 526 (S.D.N.Y. 2016)).

Plaintiff's allegations do not evidence that state regulation coerced or encouraged Defendants actions. Instead, the complaint's allegations merely show that Plaintiff's participation in the HOPE Program was mandated by statute and implemented pursuant to CDCR's regulations. Moreover, there is no allegation suggesting that the blanket-policy that Defendants allegedly maintained was required

by the State. *See Caviness* v. *Horizon Cmty. Learning Ctr., Inc.*, 590 F.3d 806, 816 (9th Cir. 2010) ("Even extensive government regulation of a private business is insufficient to make that business a state actor if the challenged conduct was 'not compelled or even influenced by any state regulation.'"); *Sullivan*, 526 U.S. at 52 (State action requires "a sufficiently close nexus between the State and the challenged action of the regulated entity so that the action of the latter may be fairly treated as that of the State itself. Whether such a 'close nexus' exists, our cases state, depends on whether the State has exercised coercive power or has provided such significant encouragement, either overt or covert, that the choice must in law be deemed to be that of the State.") (citation and some quotations omitted).

(4) Governmental Nexus Test

The governmental nexus test asks whether "there is such a close nexus between the State and the challenged action that the seemingly private behavior may be fairly treated as that of the State itself." *Brentwood Academy v. Tennessee Secondary School Athletic Ass'n*, 531 U.S. 288, 295 (2001) (internal quotation marks omitted). "Typically, the nexus has consisted of participation by the state in an action ostensibly taken by the private entity, through conspiratorial agreement . . . , official cooperation with the private entity to achieve the private entity's goal . . . , or enforcement and ratification of the private entity's chosen action[.]" *Sutton v. Providence St. Joseph Med. Ctr.*, 192 F.3d 826, 841 (9th Cir. 1999). "[A]t bottom, the inquiry is always whether the defendant has exercised power possessed by virtue of state law and made possible only because the wrongdoer is clothed with the authority of state law." *Pasadena Republican Club v. W. Justice Ctr.*, 985 F.3d 1161, 1167 (9th Cir. 2021) (quoting *Rawson v. Recovery Innovations, Inc.*, 975 F.3d 742, 747-48 (9th Cir. 2020)), cert. denied, 142 S. Ct. 347 (2021).

At most, Plaintiff has alleged that CDCR has contracted with Hope to provide sex offender management therapy. Again, providing services pursuant to that contract is insufficient to establish that Hope and its employees, include Defendant Smith, were state actors for purposes of section 1983. *See Rendell-Baker*, 457 U.S. at 841.

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b. Plaintiff Fails to Allege Violations of the First and Fourteenth Amendments

Plaintiff's allegations are also insufficient to state First Amendment retaliation and Fourteenth Amendment procedural due process claims.

(1) First Amendment Retaliation Claim

"The law is settled that as a general matter the First Amendment prohibits government officials from subjecting an individual to retaliatory actions . . . for speaking out." *Hartman v. Moore*, 547 U.S. 250, 256 (2006). To state a First Amendment retaliation claim, "the plaintiff must allege that (1) it engaged in constitutionally protected activity; (2) the defendant's actions would 'chill a person of ordinary firmness' from continuing to engage in the protected activity; and (3) the protected activity was a substantial motivating factor in the defendant's conduct—i.e., that there was a nexus between the defendant's actions and an intent to chill speech." *Az. Students' Ass. v. Ariz. Bd. of Regents*, 824 F.3d 858, 867 (9th Cir. 2016). Although Plaintiff is not required to establish that Defendants' actions actually suppressed his speech, he still must allege facts showing that Defendants "'intended to interfere' with [his] First Amendment rights and that [he] suffered some injury as a result." *Id.*

Plaintiff alleges that prior to August 2025, he "exercised his First Amendment rights by making complaints to HOPE regarding HOPE's retention policy, loss of homework records, clinician turnover, phase progression, and treatment completion." ECF No. 1 ¶ 38. He claims that in retaliation for his complaints, Palacios made "statements in the presence of Plaintiffs parole agents, including that Plaintiff was 'disruptive,' a 'ringleader,' 'abhorrent,' 'often disrespectful,' and that his demeanor was 'an acting job'" *Id.* ¶ 39. Plaintiff further alleges that these statements were made during "a CTM that directly determined Plaintiff's parole conditions." *Id.* ¶ 40.

Even assuming Plaintiff's complaints about Hope constitute protected activity, his allegations still fall woefully short of stating a First Amendment claim. Essentially, Plaintiff alleges that in response to complaints, a Hope employee verbally criticized him. While Plaintiff may believe the alleged statements were harsh and unfounded, the responsive speech does not amount to an infringement of his First Amendment rights. *See Nunez v. City of Los Angeles*, 147 F.3d 867, 875

(9th Cir. 1998) ("It would be the height of irony, indeed, if mere speech, in response to speech, could constitute a First Amendment violation."); *Blair v. Bethel School Dist.*, 608 F.3d 540, 544 (9th Cir. 2010) ("[D]eminimis deprivations of benefits and privileges on account of one's speech do not give rise to a First Amendment claim. Rather, for adverse, retaliatory actions to offend the First Amendment, they must be of a nature that would stifle someone from speaking out. The most familiar adverse actions are 'exercise[s] of governmental power' that are 'regulatory, proscriptive, or compulsory in nature' and have the effect of punishing someone for his or her speech.").

Furthermore, the mere fact that Palacios's critical statements were allegedly uttered in the presence of parole agents at a Containment Team Meeting "that directly determined Plaintiff's parole conditions" is not sufficient to transform Palacios's speech into a First Amendment violation. *See* ECF No. 1 ¶ 40. Significantly, there is no allegation suggesting that Palacios's statements were made in an effort to stop Plaintiff from continuing his criticism of Hope or otherwise chill his speech. There is also nothing in the complaint suggesting that Plaintiff was injured as a result of Palacios's statements. *Nieves v. Bartlett*, 587 U.S. 391, 398 (2019) (observing that a First Amendment retaliation claim requires a plaintiff to "establish a 'causal connection' between defendant's 'retaliatory animus' and the plaintiff's 'subsequent injury'"). Accordingly, Plaintiff fails to state a First Amendment retaliation claim.

(2) Due Process Claim

Plaintiff's allegations are also insufficient to state a due process claim. As a threshold matter, Plaintiff does not specify whether he is alleging a substantive or procedural due process claim. To the extent he is attempting assert a substantive due process claim based on the requirement that he continue to participate in sex offender therapy as a condition of parole, such a claim fails as a matter of law. *See Styre v. Adams*, 645 F.3d 1106, 1108 (9th Cir. 2011) ("[N]o substantive due process right [is] created by California's parole scheme."); *see also Doe v. Tandeske*, 361 F.3d 594, 596-97 (9th Cir. 2004) (holding that "persons who have been convicted of serious sex offenses do not have a fundamental right to be free from the registration and notification requirements" imposed by state law).

Plaintiff also fails to state a procedural due process claim. To state such a claim, Plaintiff is required to allege: "(1) a deprivation of a constitutionally protected liberty or property interest, and (2) a denial of adequate procedural protections." *Kildare v. Saenz*, 325 F.3d 1078, 1085 (9th Cir. 2003).

Plaintiff alleges that Hope submitted reports to CDCR that falsely represented that: "[He] partially participates in discussion. [He] has partially completed homework packets. [He] demonstrates partial understanding of the subject material. [He] is fixated on lawsuits instead of subject material." ECF No. 1 ¶ 32. He claims that these statements mischaracterized his "status as not having completed sex-offender treatment," *id.*, and have deprived him of his liberty by requiring him to continue sex offender therapy, *id.* ¶ 37.

Plaintiff's procedural due process claim fails because he does not have a protected liberty in the discontinuation of his sex offender therapy. "There is no right under the Federal Constitution to be conditionally released before the expiration of a valid sentence, and the States are under no duty to offer parole to their prisoners." *Swarthout v. Cooke*, 562 U.S. 216, 220 (2011). However, a liberty interest "may arise from an expectation or interest created by state laws or policies." *Wilkinson v. Austin*, 545 U.S. 209, 221 (2005).

There can be no dispute that an individual has a liberty interest in being free from being labeled a sex offender and subjected to the consequences that attach to that label, including registration and sex offender treatment requirements. *Neal v. Shimoda*, 131 F.3d 818, 830 (9th Cir. 1997) ("The stigmatizing consequences of the attachment of the 'sex offender' label coupled with the subjection of the targeted inmate to a mandatory treatment program whose successful completion is a precondition for parole eligibility create the kind of deprivations of liberty that require procedural protections."). But convicted sex offenders who are subject to mandatory sex offender treatment, such as Plaintiff, have already received all procedural protections required under the Fourteenth Amendment. *Id.* at 131 ("Neal, 131 F.3d at 831 ("An inmate who has been convicted of a sex crime in a prior adversarial setting, whether as the result of a bench trial, jury trial, or plea agreement, has received the minimum protections required by due process."); *Fletcher v. Idaho Dep't of Corr.*, 2020 WL 7082690, at *6 n.5 (D. Idaho Dec. 3, 2020) ("Although such an individual has a liberty interest

in avoiding mandatory sex offender treatment and registration, that individual—having been convicted in a court of law of a registrable sex offense—has already received all the process to which he is due.").

Importantly, Plaintiff does not contend that the requirement that he complete sex offender therapy as a condition of his parole is unconstitutional. Instead, he only claims that, due to Hope's false reports, he "remains subject to GPS monitoring, curfew restrictions, mandatory treatment attendance, and parole supervision conditions that would not have been imposed or continued but for HOPE's false treatment-status reports and blanket retention policy." ECF No. 1 ¶ 50.

Although Plaintiff faults Defendants for the continued imposition of several parole conditions, Plaintiff does not plausibly allege that Defendants' conduct bears any relation to the these conditions, except the requirement he continue sex offender treatment. Indeed, Plaintiff's allegations reflect that Hope's involvement was limited to providing mandated therapy, not formulating the conditions of his parole, including the mandated curfew and GPS monitoring.

Thus, the only interest as issue, at least as to Defendants, is Plaintiff's retainment in sex offender treatment. California law, however, has not created a liberty interest in having this treatment discontinued. As the Complaint acknowledge, California Penal Code § 3008 requires high-risk sex offenders, such as Plaintiff, "to participate in a sex offender management program." ECF No. 1 ¶ 14. The statute specifically provides that length of treatment shall range between one year and the remaining term of the individual's parole, with "[t]he length of the period in the program . . . to be determined by the certified sex offender management professional in consultation with the parole officer and as approved by the court." Cal. Penal Code § 3008(d). Under CDCR's implementing regulations, a Containment Team—consisting of the supervised person (i.e., parolee), a parole agent, the unit supervisor, and the contracted clinician—reviews the supervised person's program completion to determine the length of participation in the sex offender management program. Cal. Code Regs., tit. 15, § 3574(e). The determination to retain a supervised person in a sex offender management program is documented on CDCR Form 3043 Containment Team Meeting/Earned Discharge Consideration Committee and is signed by the parole agent. 15 Cal. Code Regs. § 3574(f).

Critically, neither California Penal Code § 3008 nor 15 CCR § 3574(f)(1) create a right or expectation that completion of course work and adequate attendance and participation will result in a decision finding successful completion of the sex offender management program. Instead, California law simply requires that the decision to retain an individual the program be supported by "good cause."[3] 15 Cal. Code Regs. § 3574(f).

At most, Plaintiff has a liberty interest in remaining on parole. He does, however, have a protected interest in modifying the condition of that liberty. *See Greenholtz v. Inmates of Neb. Penal & Corr. Complex*, 442 U.S. 1, 9-10 (1979) ("There is a crucial distinction between being deprived of a liberty one has, as in parole, and being denied a conditional liberty that one desires.").

Even assuming Plaintiff has a protected liberty interest in having the conditions of his parole modified, he has received all the process that he is due. Plaintiff's allegations strongly suggest that administrative remedies were available, but that he chose not to peruse them. In that regard, Plaintiff specifically alleges that Hope "prepared and submitted treatment-status content to CDCR using CDCR Form 3043 and contributed to CDCR's Discharge Review Report (Form I 502-DR)." ECF No. 1 ¶ 31. The determination to retain a supervised person in a sex offender management program is documented on CDCR Form 3043 Containment Team Meeting/Earned Discharge Consideration Committee, and is signed by the parole agent. 15 Cal. Code Regs. § 3574(f). Thereafter, the supervised person is subject to a discharge review by the parole agent, which "means a review of a supervised person's criminal history, and their adjustment and/or performance while under parole supervision for the purpose of rendering a decision as to whether or not a supervised person should be retained on parole supervision for another year or be discharged from parole supervision altogether." 15 Cal. Code Regs. § 3720(2). A discharge review report is prepared on CDCR Form 1502. 15 Cal. Code Regs. § 3721.1. A supervised person, such as Plaintiff, "may file a grievance regarding any mistake of fact contained in the discharge review report pursuant to the administrative remedies procedures provided in section 3480, *et seq*." 15 Cal. Code Regs. § 3723.

[3] Even assuming that there was not "good cause" to retain Plaintiff in Hope's sex offender management program, the violation of California law does not equate to a violation of Plaintiff's due process rights. *Swarthout*, 532 U.S. at 221 (observing that the Supreme Court has "long recognized that a mere error of state law is not a denial of due process") (quotations omitted).

Plaintiff, therefore, was authorized to file a written grievance regarding any perceived mistake of fact found in the Discharge Review Report. California law also explicitly provides that a "supervised person who wishes to submit a grievance . . . shall do so in writing to the Office of Grievances in the parole region where they are supervised." 15 Cal. Code Regs. § 3482(a)(2). Thereafter, a "claimant who wishes to appeal a decision or remedy issued by an Office of Grievances shall do so in writing by submitting a CDCR Form 602-2 . . . directly to the Office of Appeals by regular mail sent to the address indicated on the form or by electronic kiosk or tablet, if available." 15 Cal. Code Regs. § 3484(a). Where the appeal is denied on the merits, the administrative remedies process is exhausted. *See* 15 Cal. Code Regs. § 3485(l)(5)(A).

Although Plaintiff vaguely claims that he was denied a liberty interest without due process, ECF No. 1 ¶ 59, procedure safeguards were available; he simply didn't avail himself of the provided procedure. Accordingly, Plaintiff does not state a procedural due process claim.

2. Bane Act Claim

Plaintiff's third claim alleges violation of California's Bane Act. ECF No. 1 at 17-18. Section 52.1 of that Act provides a private right of action for damages against any person, "whether or not acting under color of law," who "interferes" or "attempts to interfere by threat, intimidation, or coercion, with the exercise or enjoyment by any individual or individuals of rights secured by the Constitution or laws of the United States, or of the rights secured by the Constitution or laws [of California]." Cal. Civ. Code § 52.1 The "essence of a Bane Act claim is that the defendant, by the specified improper means (i.e., 'threats, intimidation or coercion'), tried to or did prevent the plaintiff from doing something he or she had the right to do under the law or to force the plaintiff to do something that he or she was not required to do under the law." *Austin B. v. Escondido Union School Dist.*, 149 Cal. App. 4th 860, 883 (2007).

To state a claim under the Bane Act, a plaintiff must allege that: "(1) Defendants interfered with Plaintiff['s] constitutional or statutory rights; and (2) that interference was accompanied by actual or attempted threats, intimidation, or coercion." *Campbell v. Feld Ent., Inc.*, 75 F. Supp. 3d 1193, 1211 (N.D. Cal. 2014). If the plaintiff sufficiently alleges that the defendants violated his constitutional or statutory right, only then will "the Court consider whether such interference was the

product of threats, intimidation, or coercion." *Id.*

Plaintiff's Bane Act claim is premised on Defendants violating his rights under California Penal Code § 3008(d)(2), 15 CCR § 3574(f)(1), and the First and Fourteenth Amendments. ECF No. 1 ¶ 61.

California Penal Code § 3008(d)(2) provides that:

> Persons placed on parole on or after July 1, 2012, shall successfully complete a sex offender management program, following the standards developed pursuant to Section 9003, as a condition of parole. The length of the period in the program shall be not less than one year, up to the entire period of parole, as determined by the certified sex offender management professional in consultation with the parole officer and as approved by the court. Participation in this program applies to every person described without regard to when his or her crime or crimes were committed.

15 CCR Section 3574(f)(1) reads:

> When the Containment Team makes a determination to retain a participant in a sex offender management program, the determination shall be supported by good cause, as defined in Section 3000. A determination to retain a supervised person in a sex offender management program shall be stated in writing, signed by the sex offender treatment provider and parole agent on the CDCR Form 3043 Containment Team Meeting / Earned Discharge Consideration Committee (Rev.11/24), which is incorporated by reference. This completed form shall be delivered to the supervised person within 30 calendar days of the CTM and maintained in the supervised person's file. Reasons to retain a supervised person in a sex offender management program may include, but are not limited to:
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> (1) Pursuant to Section 3573, a Level of Service or Case Management Inventory (LS/CMI) score of 11 or higher.

Neither Penal Code § 3008 nor 15 CCR § 3574(f)(1) provide Plaintiff with a statutory right. Instead, § 3008 mandates Plaintiff's participation in a sex offender management program, while the cited regulation establishes the standard for retaining a parolee in such a program. Because the cited statute and regulation do not provide Plaintiff with a statutory right, they cannot properly serve as a basis for liability under the Bane Act. *Cf. Campbell*, 75 F. Supp. 3d at 1213 ("Plaintiffs, however, appear to have invented a statutory right for Bane Act purposes based on the fact that a criminal prohibition exists in California on the willful and malicious obstruction of another's free movement. As Plaintiffs have no civil cause of action under section 647c, the Court declines to allow Plaintiffs

to rely on it as a predicate for a separate civil cause of action."). For the reasons set forth above, Plaintiff has also failed to establish a violation of his First and Fourteenth Amendments.

Plaintiff's Bane Act claim also fails due to the complaint's failure to allege that Defendants interfered through threats, intimidation, or coercion. Plaintiff alleges that his rights were violated by "the practical coercion exerted through HOPE's exclusive gatekeeping role as sole CASOMB-certified provider in Stockton, with knowledge that its non-completion characterization would result in continued GPS monitoring, curfew, and threat of parole violation[.]" ECF No. 1 ¶ 62. Maintaining a blanket-policy under which Plaintiff was allegedly precluded from completing sex offender treatment cannot fairly be characterized as a threat or intimidation, nor does it amount to coercion for purpose of the Bane Act. *See Herrera v. AllianceOne Receivable Mgmt., Inc.*, 170 F. Supp. 3d 1282, 1288 (S.D. Cal. 2016) ("[A] Bane Act claim that relies on a theory of coercion requires allegations of 'such force, either physical or moral, as to constrain [the plaintiff] to do against his will something he would not otherwise have done.'"); *see also Muhammad v. Garrett*, 66 F. Supp. 3d 1287, 1296 (E.D. Cal. 2014), *aff'd sub nom. Muhammad v. City of Bakersfield*, 671 Fed. App'x 982 (9th Cir. 2016) ("In evaluating the threatening or coercive conduct, the Court must consider whether a reasonable person, standing in the shoes of the plaintiff, would have been intimidated by the actions of the defendants and have perceived a threat of violence.") (quotations omitted).

Moreover, the Complaint does not, and cannot, plausibly allege that the requirement that Plaintiff continue to participate in sex offender therapy has any relation to the other conditions of his parole. *See* Cal. Penal Code § 3000.07(a) (requiring a parolee convicted of a "registerable sex offense" to "be monitored by a global positioning system for the term of his or her parole, or for the duration or any remaining part thereof, whichever period of time is less"); *see also Hairston v. Parole Division of Bermuda Dunes, CA*, 2022 WL 2230717, at *3 (C.D. Cal. Apr. 18, 2022) (observing that petitioner's "success on his challenge to the GPS monitoring parole condition would not impact any other condition of his parole . . . ."). There is also no allegation that Defendants Hope or Smith threatened to report a parole violation. Although Plaintiff does allege that he was required to resign from his job "after his parole agent threatened a parole violation for a scheduling conflict with mandatory treatment," ECF No. 1 ¶ 49, no similar allegation is levied against Hope or Smith.

Plaintiff also contends that his rights were violated by intimidation and coercion based on "Palacios's . . . statements labeling Plaintiff as 'disruptive,' a 'ringleader,' and 'abhorrent,' made in front of his parole agents, explicitly linking those characterizations to Plaintiffs protected complaints." ECF No. 1 ¶ 62. Not only do Palacios's statements fall short of offending the First Amendment, as explained above, but her critiques are not threatening or intimidating in nature. *See Muhammad*, 66 F. Supp. 3d at 1296. Accordingly, the Complaint's allegations are insufficient to establish a violation of the Bane Act.

3. Fraud and Negligent Misrepresentation Claim

Plaintiff's fourth cause of action is styled as "Fraud and Negligent Misrepresentation." Notwithstanding his inclusion of the word "negligent," Plaintiff appears to be alleging a claim for either fraudulent concealment or fraudulent misrepresentation. Plaintiff alleges that Defendants misrepresented to Plaintiff and CDCR that he "had an individualized path to treatment completion, and that his non-completion status reflected individualized clinical assessment, and that he had only 'partially completed' homework packets.'" ECF No. 1 ¶ 65. Plaintiff further alleges that Defendants "concealed: (a) the blanket retention policy; (b) the October 18, 2023 Tassone Treatment Completion Plan, which was placed in Plaintiff's file and sent to CDCR but never shown to Plaintiff; and (c) that HOPE's internal policy, not Plaintiff's performance, precluded completion." *Id.*

Plaintiff's claim, whether construed as one for fraudulent misrepresentation or fraudulent concealment claim, fails because Plaintiff does not allege facts showing that Defendants intended to defraud him or that he justifiably relied on any misrepresentation or omission. To state a claim for either fraudulent concealment or fraudulent misrepresentation under California law, a plaintiff is required to allege "'(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e. to induce reliance; (d) justifiable reliance; and (e) resulting damage.'" *DZ Reserve v. Meta Platforms, Inc.*, 96 F.4th 1223, 1233 (9th Cir. 2024) (quoting *Engalla v. Permanente Med. Grp., Inc.*, 15 Cal. 4th 951, 974 (1997)).

For claims based on fraud, a plaintiff must also satisfy the heightened pleading requirements imposed by Rule 9(b) of the Federal Rules of Civil Procedure. *Zetz v. Boston Scientific Corp.*, 398 F. Supp. 3d 700, 713 (E.D. Cal. 2019). That rule provides that "[i]n alleging fraud or mistake, a party

must state with particularity the circumstances constituting fraud or mistake. Malice, intent, knowledge, and other conditions of a person's mind may be alleged generally." Fed. R. Civ. P 9(b). "Rule 9(b) serves not only to give notice to defendants of the specific fraudulent conduct against which they must defend, but also 'to deter the filing of complaints as a pretext for the discovery of unknown wrongs, to protect [defendants] from the harm that comes from being subject to fraud charges, and to prohibit plaintiffs from unilaterally imposing upon the court, the parties and society enormous social and economic costs absent some factual basis.'" *Bly-Magee v. California*, 236 F.3d 1014, 1018 (9th Cir. 2001) (quoting *In re Stac Elec. Sec. Litig.*, 89 F.3d 1399, 1405 (9th Cir. 1996)). Circumstances that must be stated with particularity pursuant to Rule 9(b) include the "time, place, and specific content of the false representations as well as the identities of the parties to the misrepresentations." *Sanford v. Memberworks, Inc.*, 625 F.3d 550, 558 (9th Cir. 2010) (quoting *Edwards v. Marin Park, Inc.*, 356 F.3d 1058, 1066 (9th Cir. 2004)).

Plaintiff alleges that "Defendants made affirmative misrepresentations to Plaintiff and to CDCR, including representations that Plaintiff had an individualized path to treatment completion, that his non-completion status reflected individualized clinical assessment, and that he had only 'partially completed' homework packets." ECF No. 1 ¶ 65. He further alleges that Defendants "concealed: (a) the blanket retention policy; (b) the October 18, 2023 Tassone Treatment Completion Plan, which was placed in Plaintiffs file and sent to CDCR but never shown to Plaintiff; and (c) that HOPE's internal policy, not Plaintiffs performance, precluded completion." *Id.*

These general allegations fail to comply with Rule 9(b)'s particularity requirement. Critically, Plaintiff does not identify the specific individual that made each affirmative misrepresentation or when the misrepresentation occurred. Likewise, he does not specify who was responsible for each act of concealment or when such concealment occurred.

But more fundamentally, the complaint's allegations fail to establish each of the required elements for claims for fraudulent concealment and fraudulent misrepresentation. Specifically, Plaintiff's allegations fail to plausibly allege that any information was concealed, or misrepresentations were made, with the intent to defraud him. Plaintiff's allegations also fail to suggest that he justifiable relied on any false statement or omission. At most, Plaintiff's allegations

indicate Defendants made false statements to CDCR so that the agency would require Plaintiff to remain in sex offender treatment as a condition of his parole—a decision made by CDCR, not Plaintiff. Consequently, Plaintiff has failed to state a claim for both fraudulent concealment and fraudulent misrepresentation.[4]

4. Civil RICO Claim

Plaintiff's last claim alleges violation of the Racketeering Influenced and Corrupt Organization Act ("RICO"), 18 U.S.C. § 1962(c). To state a civil RICO claim, plaintiff is required to allege: "a plaintiff must allege (1) conduct (2) of an enterprise (3) through a pattern (4) of racketeering activity." *Sanford v. MemberWorks, Inc.*, 625 F.3d 550, 557 (9th Cir. 2010). The alleged enterprise must exist "separate and apart from that inherent in the perpetration of the alleged [activity]." *Chang v. Chen*, 80 F.3d 1293, 1300-01 (9th Cir. 1996).

A "pattern of racketeering activity" requires at least two criminal acts proscribed by Title 18 of the United States Code, including, among others, mail fraud, wire fraud, and obstruction of justice. *Id.* These so-called predicate acts, if based on fraudulent conduct, must be alleged with specificity in accordance with Rule(9) of the Federal Rules of Civil Procedure. *Schreiber Distrib. Co. v. Serv-Well Furniture Co.*, 806 F.2d 1393, 1400-01 (9th Cir. 2004). "To avoid dismissal for inadequacy under Rule 9(b)," a plaintiff must "state the time, place, and specific content of the false representations as well as the identities of the parties to the misrepresentation." *Edwards v. Marin Park, Inc.*, 356 F.3d 1058, 1066 (9th Cir. 2004). "A party alleging fraud must 'set forth more than the neutral facts necessary to identify the transaction.'" *Kearns v. Ford Motor Co.*, 567 F.3d 1120, 1124 (9th Cir. 2009) (citing *In re GlenFed, Inc. Sec. Litig.*, 42 F.3d 1541, 1548 (9th Cir. 1994).

Plaintiff alleges that Defendants engaged in three predicate acts: mail fraud, wire fraud, and obstruction. ECF No. 1 at 20. With respect to the alleged mail and wire fraud, Plaintiff simply states that from 2021 to present, Defendants transmitted, both electronically and through the United States

[4] To the extent Plaintiff did intend to assert a negligent misrepresentation claim, he has failed to do so for the same reason he fails to state claims for fraudulent concealment and fraudulent misrepresentation. *See Zetz*, 398 F. Supp. 3d at 712-73 (emphasis added) ("The elements of negligent misrepresentation are: '(1) a misrepresentation of a past or existing material fact, (2) without reasonable grounds for believing it to be true, (3) *with intent to induce another's reliance on the fact misrepresented*, (4) ignorance of the truth and justifiable reliance thereon by the party to whom the misrepresentation was directed, and (5) damages.'").

mail, false reports to CDCR. He does not specify when these reports were transmitted, who sent them, the "specific content of the false representations[, or] . . . the identities of the parties to the misrepresentation.," as required under Rule 9(b). *See Edwards*, 356 F.3d 1058 at 1066. Consequently, the complaint fails to sufficiently allege that Defendants engaged in "a pattern of racketeering activity," which is required to state a civil RICO claim.

IV. CONCLUSION

Plaintiff's is precluded from bringing each of his claims under the doctrine of *res judicata*. Additionally, the complaint fails to allege facts sufficient to state a claim upon which relief may be granted. For these reasons, Defendants' motion to dismiss should be granted, and Plaintiff's complaint should be dismissed without leave to amend.

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Respectfully submitted,

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